

FirstFT World

FirstFT: US economy surprises

Also in today's newsletter, UK engineering group compared to a 'burning platform' and Intel slashes forecasts



The US economy expanded by 2.9 per cent on an annualised basis in the final quarter of 2022

Gordon Smith, Tee Zhuo and Emily Goldberg

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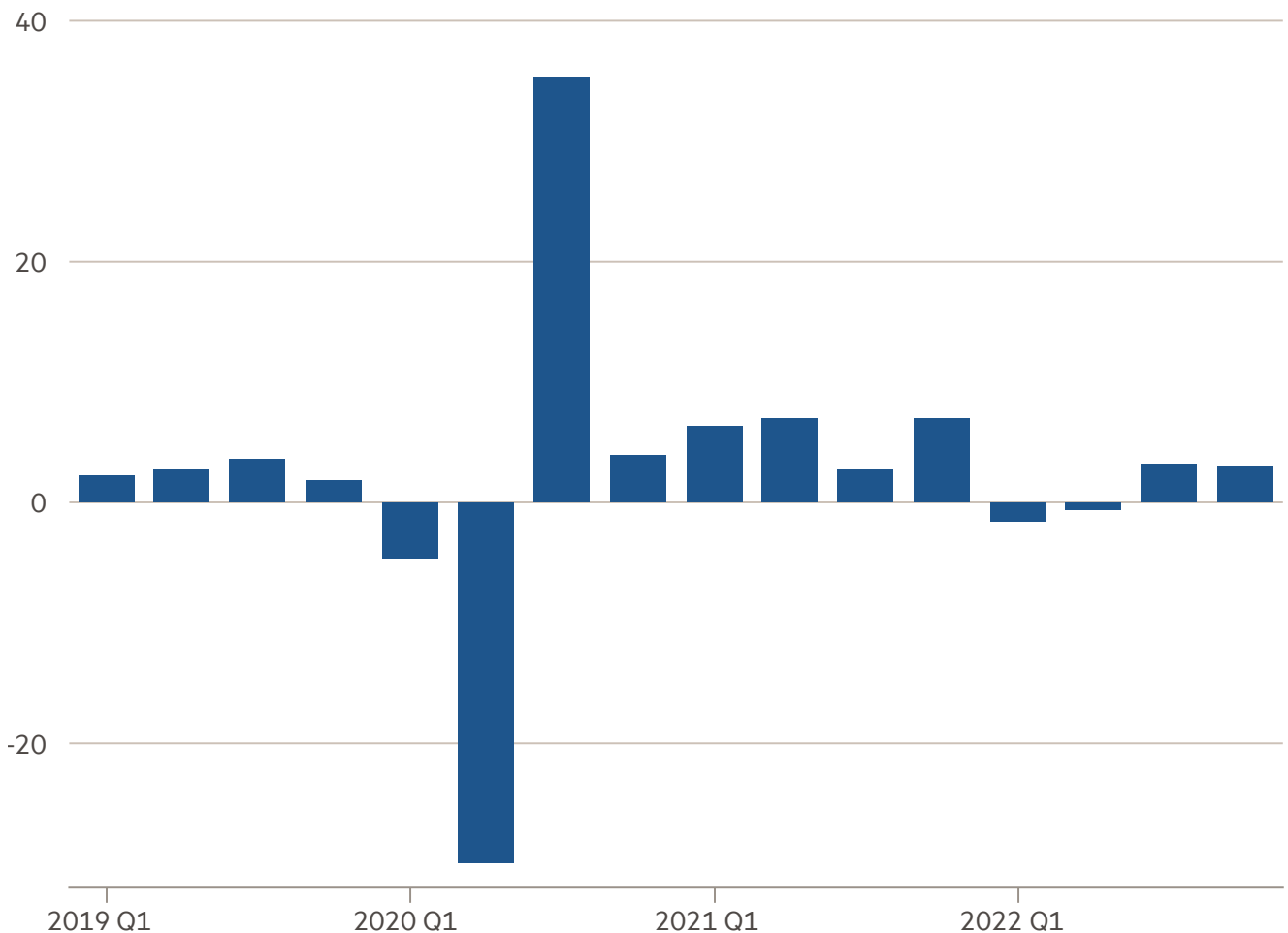
US equity markets closed [higher yesterday](#) after data showed the country's economy grew faster than expected in the final quarter of last year.

The world's largest economy [expanded 2.9 per cent on an annualised basis](#) between September and December, according to figures published by the commerce department.

That marked a slowdown from growth of 3.2 per cent in the third quarter but was stronger than a consensus forecast of 2.6 per cent. The data highlight the delicate balancing act the Federal Reserve is facing to reduce inflation to its 2 per cent target while avoiding a recession.

US economy registers slower, but still solid, growth

Per cent change in GDP from previous quarter, seasonally adjusted at annualised rates, for each quarter since 2019 Q1



Source: US Bureau of Economic Analysis
FT Graphic: Caitlin Gilbert

FINANCIAL TIME

Later today the Fed's preferred measure of inflation will be published. The personal consumption index is forecast to have declined by 0.1 per cent after increasing 0.1 per cent the previous month, further evidence that US inflation has peaked.

The growth number and the inflation data come ahead of the Fed's latest interest rate-setting meeting, which wraps up next Wednesday.

Having moved aggressively since March to tighten monetary policy, with rises of 0.75 basis points in the federal funds rate, the US central bank is expected to slow the pace of rate increases at the first meeting of the year.

A quarter-point rate rise next week would lift the main policy rate to a new target range of between 4.50 per cent and 4.75 per cent, still shy of the 5.1 per cent level that most officials believe will be necessary to get inflation fully under control.

Five more stories in the news

1. Rolls-Royce's new chief warns company is a 'burning platform' The new chief executive of one of Britain's flagship engineering companies has likened the company to [a "burning platform"](#). In a brutal assessment of Rolls-Royce's prospects, Tufan Erginbilgic told staff that if the company does not change, it will not survive. "Every investment we make, we destroy value," he told employees. "We underperform every key competitor out there."

2. Adani sell-off hits \$42bn after short seller targets group A sell-off of Adani Group shares deepened today, taking losses this week [to more than \\$42bn](#) since a US-based short seller targeted the Indian conglomerate headed by one of the world's richest men. Hindenburg Research accused Adani Group of engaging in stock price manipulation and accounting fraud for decades. Adani Group has denied the allegations, calling them "a malicious combination of selective misinformation and stale, baseless and discredited".

3. Emerging markets see near-record investment Investors are [pouring \\$1.1bn a day into emerging equity and debt markets](#), as falling inflation and the reopening of China's sprawling economy help reverse last year's slide. The speed of cross-border flows is now second only to the surge that followed the lifting of coronavirus lockdowns in late 2020 and early 2021, surpassing previous peaks over the past two decades.

4. US extends stay of Hongkongers at risk of Chinese repression Joe Biden has extended a programme that allows [Hong Kong citizens facing potential political repression from China](#) to remain in the US for two more years, following pressure from progressive lawmakers and human rights groups. The programme would have expired on February 5.

5. Intel takes axe to financial guidance The chipmaker said it expected revenue in the current quarter to fall to between \$10.5bn and \$11.5bn. The midpoint is nearly \$3bn below analysts' expectations, implying a 40 per cent tumble from the year before. The [sombre forecast](#) was made as Intel revealed revenue fell by a third in the final quarter of 2022. Its shares fell nearly 10 per cent in after-market trading last night.

How well did you keep up with the news this week? [Take our quiz](#).

The day ahead

Corporate results US oil major Chevron kicks off [Big Oil's earnings season](#). American Express, Charles Schwab and Colgate-Palmolive also report results this morning.

Economic data Economists expect the University of Michigan's final January consumer sentiment reading to hold steady at 64.6, securing back-to-back monthly gains for the gauge.

International Holocaust Remembrance Day The world remembers the millions of Jews and other minorities murdered by Nazi Germany. ECB president Christine Lagarde is due to speak at an [unveiling of a new memorial plaque](#) in Frankfurt. (European Central Bank)

What else we're reading

How Olaf Scholz made Joe Biden shift on tanks The planned deliveries of US-made M1 Abrams tanks and German-made Leopards were met with jubilation in Kyiv and relief in western capitals. But the breakthrough [involved tense negotiations](#) that tested the strength of US-German relations.

The Fed finds itself in a nasty hole There is never a good moment for the US government to hit its ceiling for debt issuance. Now, however, is a particularly [inopportune time for this fight](#), writes Gillian Tett, as big foreign buyers quietly trim their Treasury holdings and underlying vulnerabilities in the US government debt market persist.

How London's property market became an inheritocracy Life has rarely been so hard for a first-time buyer in London as it is today. Prices have shot up as real wages have stuttered, new home supply has not kept pace with demand and mortgage lending regulations have tightened. Without a leg up from parents, first-time buyers on average earnings have been [forced to abandon dreams of home ownership](#).

Is a South American common currency a good idea? Economists have questioned [Brazil and Argentina's plan to create a common currency](#), with former IMF chief economist Olivier Blanchard calling it “insane”. But political analysts have been less dismissive, pointing out that the desires of South America's mainly leftwing presidents to promote regional integration and challenge the US dollar's dominance should not be underestimated.

South Africa's support underscores Moscow's propaganda success Fears of Russian influence in Africa often centre on what the west views as the Kremlin's attempts to destabilise fragile countries such as Mali and Burkina Faso. But South Africa's [shifting position on the war in Ukraine](#) reveals Moscow's success in stoking doubt about responsibility for the conflict and how a friendly government can help spread its message.

China's singles fight pressure to marry Young Chinese have for decades invented creative tactics to allay parental demands for marriage and grandchildren, put off by the exorbitant costs of modern child-rearing while juggling taxing jobs and sky-high property prices in large cities. But the fight is [moving from the home into the political arena](#) as the world's most populous country enters a long-term and irreversible population decline.

Take a break from the news

Decades after his murder, the tooth of Patrice Lumumba — anti-colonial hero, pan-African nationalist and the first democratically elected Congolese prime minister — turned up in Belgium. [This is the story of its return to the Democratic Republic of Congo.](#)

A gold-capped molar belonging to the late Congolese leader Patrice Lumumba turned up in Belgium decades after his murder. © Jelle Vermeersch

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Gordon Smith